Handling IGST and Compensation Cess

The GST Council took some ad hoc decisions to deal with the initial period of stabilization. It decided that IGST, not apportioned to the Centre or states/UTs, may be distributed to the Centre and the states/UTs at 50 per cent each. Likewise, surplus available in a year in the GST Compensation Fund was to be divided among the Centre and states/UTs at 50 per cent each. In the first year of GST implementation, the Centre retained all 100 per cent of IGST surplus in the CFI, thereby treating it as the revenue of the Central government and transferred 42 per cent of this to the states as their share of devolution. The surplus available under the GST Compensation Fund was transferred to the Public Account in 2017–18. In 2018–19, not only was the surplus of 2018–19 not transferred to the Public Account, the amount transferred in 2017–18 was also reversed and brought in the CFI.

There is a complex system of cross-utilization of input credits. IGST credit is allowed to be used for payment of all taxes: IGST, CGST and SGST. CGST credit can be used only for IGST or CGST. SGST credit can be availed only for paying SGST or IGST. There is also a sequencing or order of using input credits. CGST input credit is allowed to be used for payment of CGST and IGST in that order. Input tax credit (ITC) of SGST is allowed for payment of SGST and IGST in that order, and ITC of IGST is allowed for payment of IGST, CGST and SGST in that order. Further, IGST credit balances have to be used before utilization of CGST or SGST.

The GST Compensation Cess became a matter of dispute and contention between the Centre and the states. The Compensation Cess is levied on supply of certain goods and services as recommended by the GST Council, and on goods and services included in the Schedule of the GST (Compensation to States) Act, 2017 (coal, tobacco, motorcars, etc.), to finance the compensation needed. As per the constitutional provision and as provided in the GST Compensation Act, states will get compensation for a period of five years in case any state’s GST revenues fall short of the 14 per